Note 11. Income Taxes

The components of the Company's deferred taxes at December 31, 2018 and 2017 are as follows:

	December 31, 2018	December 31, 2017
Deferred tax assets:		
Net operating loss carryforwards	$ 1,372,854	$ 1,304,872
Startup costs	2,359	2,892
Accounts receivable reserves	-	22,868
Deferred compensation	238,671	186,993
Depreciation	(16,406)	(16,406)
Deferred tax asset	1,597,479	1,501,209
Less valuation allowance	(1,597,459)	(1,501,209)
Deferred tax asset, net	$ --	$ --

The recognized deferred tax asset is based upon the expected utilization of its benefit from future taxable income. At December 31, 2018, the Company had approximately $4,877,000 of federal net operating tax loss carryforwards expiring at various dates through 2035. The Tax Reform Act of 1986 enacted a complex set of rules which limits a company's ability to utilize net operating loss carryforwards and tax credit carryforwards in periods following an ownership change. These rules define an ownership change as a greater than 50 percent point change in stock ownership within a defined testing period which is generally a three-year period. As a result of stock which may be issued by us from time to time and the conversion of warrants, options or the result of other changes in ownership of our outstanding stock, the Company may experience an ownership change and consequently our utilization of net operating loss carryforwards could be significantly limited.

Based upon the net losses historically incurred and, the prospective global economic conditions, management believes that it is not more likely than not that the deferred tax asset will be realized and has provided a valuation allowance of 100% of the deferred tax asset.

A reconciliation of the income tax (benefit) provision at the statutory Federal tax rate of 21% and 34%, respectively, for the years ended December 31, 2018 and 2017 to the income tax (benefit) provision recognized in the financial statements is as follows:

	December 31, 2018	December 31, 2017
U.S. statutory rate	(21%)	(34%)
Income tax expenses - state and local, net of federal benefit	6%	6%
Change in valuation allowance	15%	28%
Effective tax rate	--	--